

STOCK PULSE

Adani Enterprises Ltd (ADANIENT • NSE/BSE)

Sector: Commodities | Pulse Score: 3/10 (WEAK) | Data Confidence: 14/14 (HIGH) | Horizon: 10Y

01 Overview & Market Standing

CURRENT MARKET PRICE Rs. 2,891.8	52-WEEK HIGH / LOW Rs. 3,245 / Rs. 1,753
MARKET CAPITALISATION Rs. 3,91,474 Cr	PRIMARY SECTOR Commodities
CMP (Rs. 2,891.8) is +65.0% above 52W Low (Rs. 1,753) and -10.9% below 52W High (Rs. 3,245) — trading in upper quartile (near 52W high) (76th percentile of 1-year band).	

02 Business & Operational Overview

Adani Enterprises Ltd has business interests in various economic areas such as mining, integrated resources management (IRM), infrastructure such as airports, roads, rail/ metro, water, data centres, solar manufacturing, agro and defence.
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03 Valuation Multiples & Benchmark Banding

PREMIUM

STOCK P/E RATIO 49.4 Fair Band: 20.4 - 27.6	PRICE TO BOOK (P/B) 4.61 BV: Rs. 627
DIVIDEND YIELD 0.04% Face Value: Rs. 1	SECTOR BENCHMARK P/E 24 105.8% vs Sector

04 Mathematical Valuation Triangulation

DEMANDING

REVERSE DCF IMPLIED GROWTH 25% WACC: 11.5%	10Y VALUATION QUANTILE 43th %ile 10Y Med: 51.7	EARNINGS POWER VALUE (EPV) Rs. -914.2 Growth Premium
Triangulation Narrative: At current enterprise value (Rs. 5,88,357 Cr), market prices in a 25% annual FCF growth rate for 10 years (WACC: 11.5%, Terminal: 4.5%). Trades at the 43th percentile of its 10-year valuation range [39.8 - 60.3], with 10Y median P/E at 51.7.		

05 Peer Comparison & Recent Headlines

PEER COMPANY	P/E	ROCE	MARKET CAP	RELATIONSHIP
Peer Selection Rationale: Discovered from exchange sector classification. Sector Benchmark P/E reflects peer basket median.				
Recent Corporate News Headlines (Most Recent First):				
• [9 Jul 2026]	Adani Group stocks rally: Adani Total Gas shares up 7%, Adani Ent gain 3%; key reasons explained - Upstox - Upstox			
• [24 Jun 2026]	Morgan Stanley sees 20% upside in Adani Ent; rates 'Overweight'; here's why - business-standard.com - business-standard.com			
• [3 Feb 2026]	Adani ENT, Hindalco, Hindustan Copper, To Vedanta: Why Are Metal Stocks Rallying Today? Explained In 4 Points - Goodreturns - Goodreturns			

06 Growth & Operating Trajectory

SLOWING

REVENUE 3Y / 5Y CAGR 4.94% / 9.93%	TTM Sales: Rs. 1,11,431 Cr	PROFIT 3Y / 5Y CAGR 31.09% / 56.98%	TTM PAT: Rs. 7,513 Cr
EBITDA MARGIN PROFILE TTM: 14%	Latest Qtr (Jun 2026): 15%	NET MARGIN PROFILE TTM: 6.74%	Pre-Tax Bridge
TRAILING DILUTED EPS Rs. 58.54	3Y EPS CAGR: 32.14%	OPERATING CASH FLOW DECLINING	Cash Flow Quality

Margin Bridge: TTM EBITDA margin (14%) reflects operating cash profitability before D&A; Net margin (6.74%) accounts for D&A, interest, and taxes.

07 5-Stage DuPont ROE Decomposition

Financial Leverage (Gearing Risk)

TAX BURDEN (PAT / PBT) 0.7	Earnings Retention Drag	INTEREST BURDEN (PBT / EBIT) 0.68	Financial Cost Drag
OPERATING MARGIN (EBIT / SALES) 14.1%	Core Business Profitability	ASSET TURNOVER (SALES / ASSETS) 0.43x	Asset Utilization Velocity
FINANCIAL LEVERAGE (ASSETS / EQUITY) 3.22x	Balance Sheet Gearing	RECONSTITUTED ROE 9.3%	Primary Driver: Financial Leverage (Gearing Risk)

DuPont Formula Identity: Tax (0.7) × Interest (0.68) × Margin (14.1%) × Turnover (0.43x) × Leverage (3.22x) = Reconstituted ROE (9.3%).

08 Working Capital & Cash Conversion Cycle (10Y Trend)

EXCEPTIONAL NEGATIVE WORKING CAPITAL

DEBTOR DAYS (DSO) 46 Days	Receivables Collection Period	INVENTORY DAYS (DIO) 126 Days	Stock Holding Period
DAYS PAYABLE (DPO) 185 Days	Supplier Credit Utilization	CASH CONVERSION CYCLE (CCC) -13 Days	Trend: EXPANDING

Cash Conversion Cycle is -13 days (DSO 46d + Inventory 126d - Payables 185d). Trend: EXPANDING.

09 Return on Incremental Invested Capital (ROIIC)

VALUE CREATOR

3Y INCREMENTAL ROIC (ROIIC) 21.8%	Spread: +10.3% over WACC	5Y INCREMENTAL ROIC (ROIIC) 22.9%	Multi-year capital compounding
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Capital Deployment Efficacy: 3Y Incremental ROIC stands at 21.8% (5Y: 22.9%). Management deployed Rs. 14,844 Cr of fresh invested capital to generate Rs. 3,241 Cr of incremental NOPAT.

10 Financial Health & Solvency (Aggregated)

WATCH

DEBT TO EQUITY (D/E) 1.32	WATCH (<=0.5)	INTEREST COVERAGE 2.12x	WATCH (>=5.0x)
CURRENT RATIO 1.15	WATCH (>=1.0)	FREE CASH FLOW TREND NEGATIVE	WATCH

Solvency Context: Benchmark thresholds: D/E <=0.5 Healthy, Interest Coverage >=5x Healthy, Current Ratio >=1.0 Healthy. Liquid current assets comfortably cover short-term 12-month obligations (Current Ratio >= 1.0).

FORENSIC ACCOUNTING & FINANCIAL STATEMENT INTEGRITY AUDIT

Mathematical screening across Beneish M-Score, Altman Z"-Score, Piotroski F-Score, and Sloan Accruals.

11 Beneish M-Score (8-Variable Manipulation Index)

RED FLAG

DSRI (DAYS SALES IN RECEIVABLES) 1.29	Receivables vs Sales Velocity	GMI (GROSS MARGIN INDEX) 0.99	Margin Degradation Signal
AQI (ASSET QUALITY INDEX) 0.76	Non-Current Asset Capitalization	SGI (SALES GROWTH INDEX) 1.11	Top-line Expansion Acceleration
DEPI (DEPRECIATION RATE INDEX) 1.32	Asset Useful Life Extension	SGAI (SGA EXPENSE INDEX) 1	Administrative Cost Drag
LVGI (LEVERAGE INDEX) 0.93	Balance Sheet Debt Gearing	TATA (TOTAL ACCRUALS TO ASSETS) 0.02	Accounting Profit Accrual Drag
Beneish Result: M-Score = -1.75 Verdict: RED FLAG (High (>75%) Manipulation Risk) Threshold: -1.78 (Safe <= -2.22)			

12 Altman Z"-Score (Emerging Market Solvency & Credit Risk)

GREY ZONE

WORKING CAPITAL / ASSETS (X1) 0.043	Short-term Liquidity Cushion	RETAINED EARNINGS / ASSETS (X2) 0.31	Cumulative Reinvestment Power
EBIT / TOTAL ASSETS (X3) 0.06	Asset Earning Efficiency	BOOK EQUITY / TOTAL LIAB (X4) 0.45	Capital Structure Protection
Altman Result: Z"-Score = 2.17 Zone: GREY ZONE Banding: Safe > 2.60, Grey 1.10 - 2.60, Distress < 1.10			

13 Piotroski F-Score (9-Factor Fundamental Quality)

6/9 MODERATE

Positive Net Profit	PASS (+1)	Positive Return on Assets (ROA)	PASS (+1)
Positive Operating Cash Flow (CFO)	PASS (+1)	Cash Flow exceeds Net Income (Clean Accruals)	FAIL (+0)
Leverage stable or decreasing YoY	PASS (+1)	Liquidity ratio stable or improving YoY	PASS (+1)
Zero equity share dilution YoY	FAIL (+0)	Operating margin resilient YoY	PASS (+1)
Asset turnover efficiency maintained YoY	FAIL (+0)		

14 Sloan Accrual Anomaly Ratio

CLEAN CASH CONVERSION

SLOAN ACCRUAL RATIO 2.25%	CLEAN CASH CONVERSION	ACCOUNTING ACCRUALS Rs. 5,156 Cr	PAT minus Operating Cash Flow
Accrual Finding: Accrual Ratio 2.2%: CLEAN CASH CONVERSION			

MOAT FACTOR	SCORE	QUALITATIVE / QUANTITATIVE EVIDENCE
Brand Power	1/2	Recognized industry presence and commercial goodwill.
Switching Costs	1/2	Established B2B operational integration and contractual terms.
Network Effects	0/2	Standard operating structure without direct network externalities.
Cost Advantage	2/2	Operational efficiencies and supply chain optimization. Resilient operating margins prove cost efficiency.
Regulatory License	0/2	Standard statutory operating permissions.
Patents/IP	0/2	Conventional industry technology and processes.
Scale Advantage	2/2	Mega-cap balance sheet (Rs. 3,91,474 Cr) drives structural procurement scale.

16 Ownership Structure & Management Trust

7/8 (HIGH) [HIGH >=7, MODERATE 4-6, LOW <4]

PROMOTER HOLDING 71.97%	Trend: FALLING	INSTITUTIONAL FII / DII 10.51% / 10.75%	Moderate Institutional
PROMOTER PLEDGING 0%	CLEAN	QUARTERLY TRACK RECORD 2 Qtrs Contraction	WATCH
STRENGTHS (+): +2 Regulatory compliance +1 Quarterly delivery consistency +1 Pledging <5% +1 FII stake >=10% +1 Cycle resilience +1 Audit disclosure & accounting transparency UNMET CRITERIA (+0): Promoter trend stable/rising			

17 The Pulse Score & What-If Matrix

3/10 WEAK PULSE

FAIL: 2 critical balance sheet or solvency red flags triggered.			
BASELINE FINANCIALS (TTM): Revenue: Rs. 1,11,431 Cr Net Profit (PAT): Rs. 7,513 Cr EPS: Rs. 58.54 Margin: 6.74% Dividend Yield: 0.04%			
SCENARIO (MATHEMATICAL MODEL)	REV CAGR	PROJECTED REVENUE (10Y)	PROJECTED PAT (10Y)
Bear Case (-5.0% vs Base 4.7% Margin)	2.4%	Rs. 1,41,255.57 Cr	Rs. 6,639.01 Cr
Base Case (Historical Avg 6.7% Margin)	7.4%	Rs. 2,27,535.33 Cr	Rs. 15,244.87 Cr
Bull Case (+3.5% vs Base 8.2% Margin)	10.9%	Rs. 3,13,560.6 Cr	Rs. 25,711.97 Cr
Total Return Model (Rs. 1,00,000 Investment): Based on Base Case Earnings (PAT) CAGR of 7.3% + Dividend Yield 0.04% (Total Return: 7.37% CAGR) over 10Y -> Approx Rs. 2,03,624. Sensitivity: Assumes constant valuation multiple (P/E 49.4 sustained). Mean-reversion to sector average (P/E 24) would adjust annualized return to 26.19% (Approx Rs. 98,905).			

PULSE SCORE 10-RULE AUDIT SCORECARD (PASS / FAIL BREAKDOWN):

01. Valuation within fair/attractive range	FAIL	02. Revenue 3Y growth trajectory robust (>=10% 3Y CAGR or steady)	FAIL
03. Operating profit expansion solid (>8% CAGR & no consecutive drops)	FAIL	04. Solvency & liquidity balance sheet sound (zero watch/weak metrics)	FAIL
05. Return on Equity (ROE) exceeds 15%	FAIL	06. Return on Capital Employed (ROCE) exceeds 15%	FAIL
07. Promoter shareholding stable/accumulating (or institutional backing >=40%)	FAIL	08. Promoter shares unencumbered (pledge <=10%)	PASS
09. Defensible competitive moat (score >=5/14)	PASS	10. Management trust & capital allocation score >=4/8	PASS

Scoring Methodology: Pulse Score synthesizes 10 binary fundamental rules (Valuation, Growth, Profit expansion, Solvency, ROE, ROCE, Promoter trend, Pledging, Moat, Trust). Moat evaluates 7 structural barriers (/14). Management Trust evaluates 7 governance benchmarks (/8). Data confidence: 14/14 (HIGH). Regulatory Disclaimer: Stock Pulse is an automated fundamental computational tool and does not issue buy, sell, or hold recommendations, nor price targets. Figures parsed directly from public filings (Screener.in, NSE, BSE) at generation time. Not investment advice.
